

Soitec

Upgrading to OW: Mobile concerns washed away by the wave of Photonics

We are upgrading Soitec to Overweight from our previous Neutral stance - while our prior concerns on market decline and share loss in Mobile remain, these are overwhelmed by raised expectations for the Silicon Photonics business, which we now expect to exceed €1b in FY30 and at a higher contribution margin than the company has delivered historically. From our interactions with investors (and evidenced in sell-side consensus and recommendations), this stock still divides opinion and in our view the earnings leverage looks to be underestimated, which we think leaves upside (even with the shares performing strongly year-to-date). Our new Jun-28 price target is €200 (vs. €98 previously), reflecting raised forecasts.

- **Upgrading our SiPho estimates:** We make meaningful upgrades to our SiPho forecast reflecting far faster end-market demand, and improving visibility on volumes. Importantly, Capacity Reservation Agreements improve visibility on volumes, but leave price floating (which likely leaves upside in the near- to medium term). We still factor in market share erosion and mild price erosion in outer years, but now see >€1b revenue in FY30. We expect that Soitec will need to extend the Singapore facility in order to meet demand, and factor this into our forecasts.
- **Concerns on Mobile remain but pale into insignificance:** The issues which had kept us Neutral are all still in play, chiefly the negative Mobile market in the near/medium-term and longer-term Soitec' market share. Our estimates for the non-SiPho business are materially below latest Bloomberg consensus (DD % below). However, a missing ~€80m of revenue in Mobile in FY29 is immaterial in the context of significant upside on SiPho.
- **Earnings leverage powerful and underestimated:** Conversations with investors indicate that investors are 'anchoring' to the prior peak gross and operating margins; however, our detailed analysis suggests that these peaks could be exceeded next year (FY28) with further expansion thereafter. Even factoring in growth in capital and operating costs, we see gross margins >40% and operating margins >30%, driven by volume and mix (with the Contribution margin of SiPho well ahead of group average).
- **Opinion remains divided, upgrades will force reassessment** In discussing Soitec with investors, we encounter skepticism and enthusiasm almost in equal measure. We think it will be increasingly difficult to remain skeptical in the face of significant upgrades to consensus that we see coming through. Questions on capital intensity are not new, and explain why Wafer Makers trade at a discount; but we think that the improving duration (both from market demand and internal actions to improve visibility) can see Soitec as an investing stock (not just a trading name).
- **Valuation:** We set our Jun-28 PT at €200 using a 13.0x FY29E EBIT multiple (equivalent to 10x EBITDA vs. 11.0x prior). We move to an EBIT-based multiple, given this better recognises the capital intensity of the business (and real value to the shareholder), and also sense management shifting focus to Operating Profit (EBIT) rather than a historical focus on EBITDA.

▲ Overweight

Previous: Neutral

SOIT.PA, SOI FP

Price (15 Sep 26):€123.00

▲ Price Target (Jun-28):€200.00

Prior (Dec-27):€98.00

European Tech Hardware & Payments

Craig A McDowell ^{AC}

(44-20) 7742-4576

craig.mcdowell@jpmorgan.com

Sandeep Deshpande

(44-20) 7134-5276

sandeep.s.deshpande@jpmorgan.com

J.P. Morgan Securities plc

Specialist Sales contact details:

Scott Silver - Specialist Sales - European TMT

(44-20) 7134-0412

scott.silver@jpmorgan.com

Key Changes (FYE Mar)

	Prev	Cur	Δ
Revenue - 27E (€ mn)	665	704	5.9%
Revenue - 28E (€ mn)	802	1,057	31.8%
Adj. EPS - 27E (€)	(0.28)	1.21	529.4%
Adj. EPS - 28E (€)	1.42	6.63	367.4%
Adj. EBIT - 27E (€ mn)	9	65	612.9%
Adj. EBIT - 28E (€ mn)	80	303	278.4%

Style Exposure

Quant	Current	Hist %Rank (1=Top)			
Factors	%Rank	6M	1Y	3Y	5Y
Value	100	72	88	81	94
Growth	83	7	30		
Momentum	23	97	96	62	25
Quality	91	90	88	69	78
Low Vol	1	98	95	79	46
ESGQ	18	45	43	31	94

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 9 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



	YTD	1m	3m	12m
Abs	430.4%	-4.8%	-11.4%	289.0%
Rel	430.9%	1.3%	-8.0%	286.5%

Company Data

Shares O/S (mn)	36
52-week range (€)	200.50-22.62
Market cap (\$ mn)	5,064.85
Exchange rate	0.87
Free float (%)	69.6%
3M ADV (mn)	0.34
3M ADV (\$ mn)	45.2
Volatility (90 Day)	114
Index	SBF 120 INDEX (CAC 120)
BBG ANR (Buy Hold Sell)	9/7/3

Key Metrics (FYE Mar)

€ in millions	FY26A	FY27E	FY28E
Financial Estimates			
Revenue	592	704	1,057
Adj. EBIT	(131)	65	303
Adj. EBITDA	143	200	443
Adj. net income	(220)	45	243
Adj. EPS	(6.17)	1.21	6.63
BBG EPS	(1.94)	0.33	2.95
Cashflow from operations	205	366	330
FCFF	68	253	97
Margins and Growth			
Revenue Growth Y/Y (%)	(33.6%)	19.0%	50.1%
EBIT margin	(22.1%)	9.3%	28.6%
EBIT Growth Y/Y (%)	(210.1%)	(149.8%)	363.7%
EBITDA margin	24.2%	28.3%	42.0%
EBITDA Growth Y/Y (%)	(52.0%)	39.6%	122.2%
Net margin	(37.2%)	6.3%	23.0%
Adj. EPS growth	(340.4%)	(119.7%)	446.2%
Ratios			
Adj. tax rate	(37.9%)	7.7%	16.0%
Interest cover	4.8	11.7	34.1
Net debt/Equity	0.0	NM	NM
Net debt/EBITDA	0.4	NM	NM
ROE	(15.1%)	3.3%	16.2%
Valuation			
FCFF yield	1.5%	5.6%	2.1%
Dividend yield	0.0%	0.0%	0.0%
EV/Revenue	6.5	5.2	3.4
EV/EBITDA	27.1	18.2	8.0
Adj. P/E	NM	101.3	18.5

Summary Investment Thesis and Valuation

Investment Thesis

Soitec's Silicon Photonics franchise is set to drive significant revenue growth for the group in the medium term, more than compensating for any continued softness in the legacy business. Soitec's Silicon Photonics is a key raw material used for optical and networking products, and as such is expected to see rapid revenue growth in the coming years. Given the structure of the business with high contribution margins and high fixed costs, we expect to see significant leverage on gross and operating margins leading to very material upgrades to consensus estimates.

Valuation

We set our June 2028 price target of €200 using a 13.0x EV/EBIT multiple on FY29 estimates (y/e March 2029). We shift to using EV/EBIT multiples given this better reflects the capital cost of the business; however, we note that the price target is equivalent to 10x EBITDA (vs. prior applied multiple of 11.0x EBITDA). The selected multiple is aligned to multiples of wafer maker peers.

Performance Drivers

Market	9%
Sector	14%
Macro	9%
Style	0%
Idiosyn.	67%

Factors	6M Corr	1Y Corr
Market: MSCI Europe ex UK	0.27	0.35
Sect: Technology	0.43	0.40
Ind: Semicond & S Equip	0.24	0.25
Macro:		
Euro	-0.22	-0.18
Eurozone Exports	0.27	0.18
Citi Eco Surprise Eurozone	-0.31	-0.17
Quant Styles:		
LowVol	-0.15	-0.20
Value	-0.18	-0.19
Growth	0.16	0.15

Silicon Photonics: demand and supply growth well aligned

We raise our Silicon Photonics estimates meaningfully, reflecting an updated view on the end-market (i.e. increased transceiver volumes, with minimal change to our CPO and NPO forecast). Importantly, both demand and supply are rising rapidly, with improving visibility on both sides.

On **Demand**, the customer reservation agreements (“CRA”) are providing greater certainty on volumes. Importantly, our understanding is that the commitments in these CRAs is generally on volumes (not a fixed price), which will likely allow prices to increase in the near-to-medium term as the market remains tight but still give Soitec greater visibility in capacity planning. Our understanding is that most contracts are on a 2-3 year term.

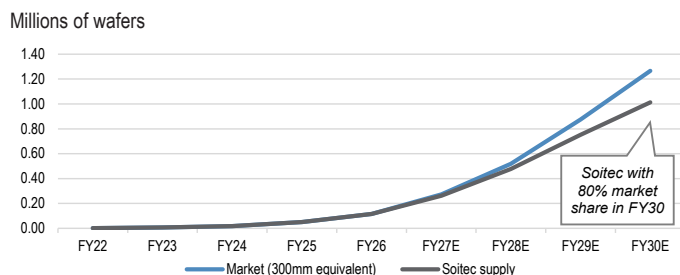
From discussions with the company, we understand that most demand relates to Scale Out at this point, with demand beginning to come through for Scale Up as well as Near-Packaged Optics (NPO). Note, our forecast assume a slowing transceiver volume growth as CPO and NPO become a larger share of the market; but importantly, the wafer demand will still grow given the larger content size. Customers are qualifying on Singapore (300mm) as well as France, and ramping up their demand accordingly.

On **Supply**, we estimate that across the current footprint there is headroom of ~0.5-0.7m SOI wafers without extending Singapore (from conversion of Bernin 4 from Smart SiC, plus tooling of Singapore Phase 1). Extension of Singapore would add ~1.0m additional SOI wafers (300mm) with a capital cost of ~€700m taking ~2 years to complete. In our forecasts, with additional ~0.85m Silicon Photonics wafers being shipped (FY30 vs. FY27), we expect that the Singapore extension will be initiated. Note, there is an upside scenario where Soitec management reallocate existing capacity from less profitable products to Silicon Photonics, without the need to add further capacity; however, this is not our base case.

On **market share**, we continue to expect market share erosion in the medium term, most likely from Global Wafers (with their dedicated SOI plant in Missouri going through qualification).

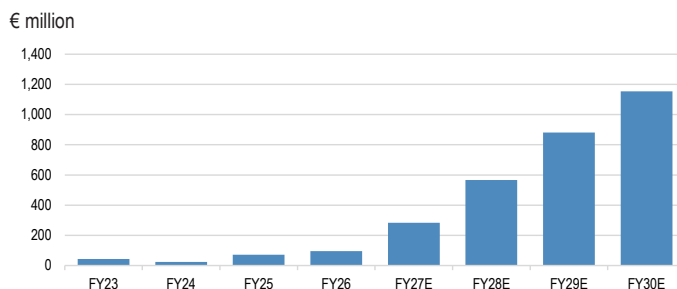
Overall, we see the Silicon Photonics business continuing to accelerate through to the end of the decade. We estimate that the exit rate for FY27 will be ~\$125m per quarter or \$500m per year (~€450m) with supply continuing to come online and demand continuing to grow.

Figure 1: Silicon Photonics, market wafer demand



Source: J.P. Morgan estimates.

Figure 2: Soitec, Silicon Photonics revenues

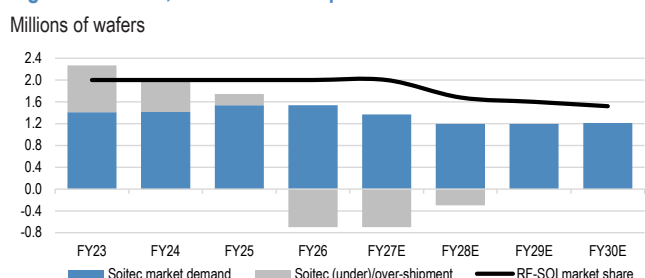


Source: J.P. Morgan estimates.

Other businesses still a concern, but pale into insignificance

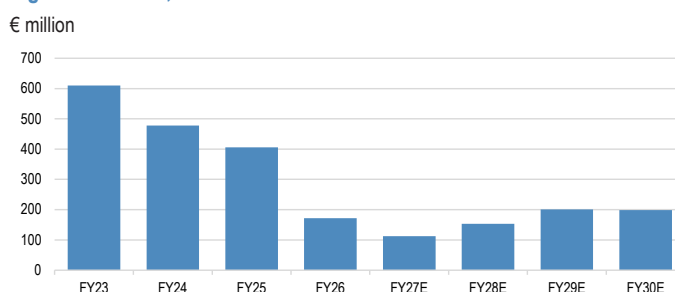
Our concerns on Mobile and Industrial, which had kept us Neutral on the shares remain with our non-SiPho estimates largely unchanged. In the near-term, we still expect that the Mobile (RF-SOI) business will see a sharper decline than anticipated in consensus estimates, as a result of negative mobile volumes as well as continued digestion of channel inventory. In the medium/long-term, we continue to see competitive threat and loss of market share (likely to Global Wafers). **Overall, we do not see the Mobile business returning to be a >€400m revenue business in the forecast period (unlike Consensus).**

Figure 3: RF-SOI, Soitec wafer shipments and market share



Source: J.P. Morgan estimates.

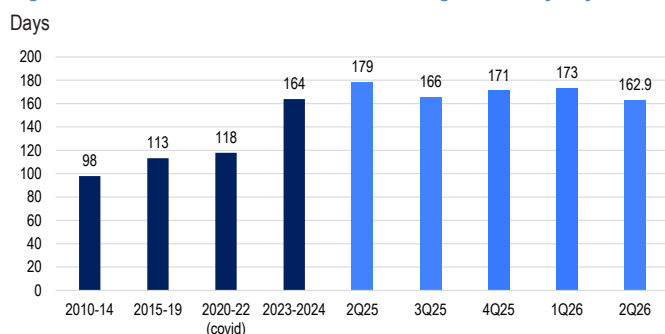
Figure 4: RF-SOI, Soitec revenue



Source: J.P. Morgan estimates, Company data.

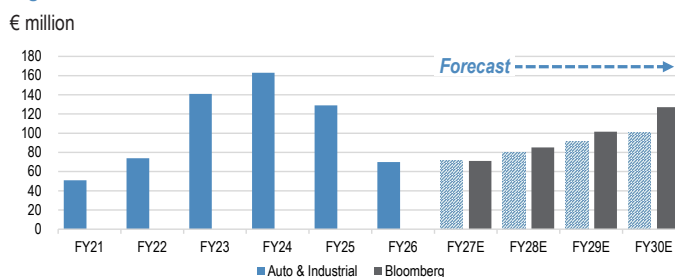
Similarly, we take a more conservative view on the upcycle in the Auto & Industrial business than consensus. We do see evidence of an upcycle in Industrial and Automotive end-markets; however, this will take time to work its way through to Soitec. We still see inventory as high at the IDMs and in the channel, and are conscious of competition impacting price and volumes.

Figure 5: Automotive & Industrial IDMs, average inventory days



Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 6: Soitec, Auto. & Industrial revenue



Source: J.P. Morgan estimates, Bloomberg Finance L.P.

For non-Silicon Photonics business, we take a very cautious view on recovery and future market share. **Our forecasts for Mobile and Auto. & Industrial combined are €50/€78/€90 million below current Bloomberg consensus in FY27/28/29; but this is far outweighed by our expectations for the Silicon Photonics business. The weighting and exposure of this business is shifting rapidly such that Mobile, Auto & Industrial will be immaterial drivers going forward.**

Margins can exceed prior peak

From our discussions with investors, most are pegging gross margins to the RF-SOI cycle peak in FY23, where gross margins reached 37.0%. Further work on the margin structure makes us believe that the company could exceed that level next fiscal year (FY28) and continue to expand on improving volume and mix.

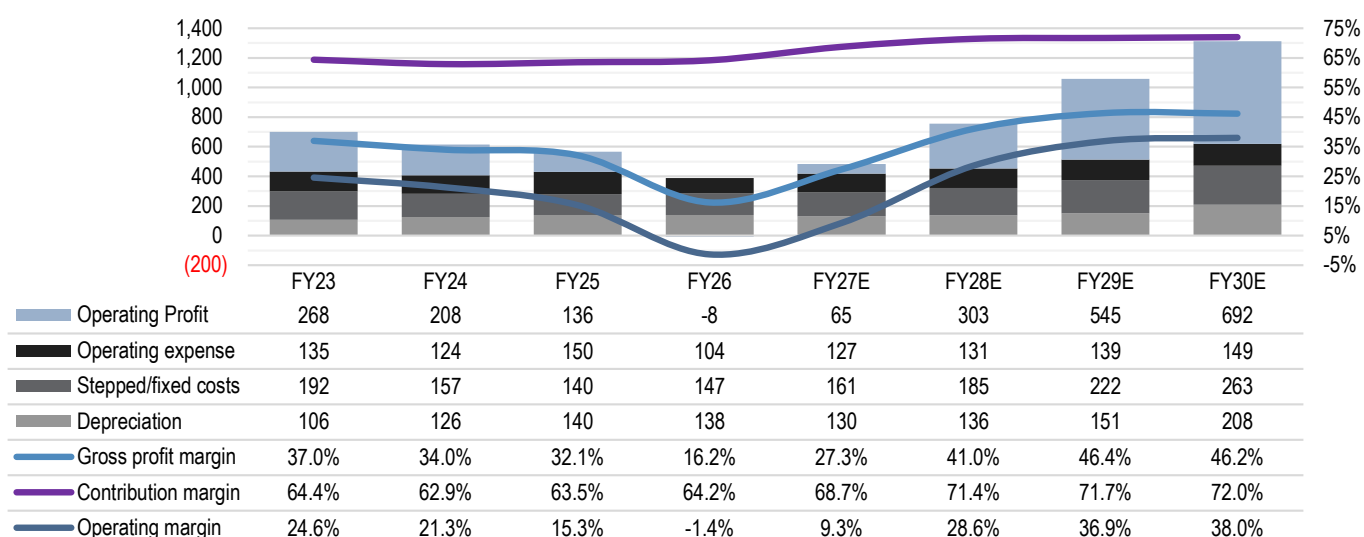
The drop though in the business is very high, with the contribution margin (i.e. revenue less raw material cost) historically in the region of ~60-65%, we understand that this includes RF-SOI at its peak. We understand that Silicon Photonics is a step change here, with contribution margins >75%. As noted above, we expect that this can be sustained in the near/medium term, with pricing floating and the market likely to remain tight. The mix shift is likely to see contribution margin increase to over 70% in the forecast period (even assuming some compression on non-SiPho products on higher bare wafer costs and onward pricing).

We forecast meaningful growth in stepped/fixed costs in manufacturing, while our Depreciation/Capex model sees a step up in D&A costs to the gross margin. Overall, we see gross margins exceeding the prior peak next fiscal year and moving into the mid-40s in FY29 and FY30.

On Opex, we expect there to be some growth to support the topline. The cost control measures initiated in FY26 under new CFO Jacquemont seem to have been grasped by new CEO Remont, who has spoken about better focus and discipline to enable margin improvement (of course while investing into growth). Note the step up in FY27 largely reflects an airpocket of research grant income/tax credit which we do not assume reverses in FY28 (i.e. there could be upside if a new grant program is introduced).

Figure 7: Soitec, profitability progression

€ million



Source: J.P. Morgan estimates, Company data.

Forecast changes, consensus comparison and valuation table

Table 1: Soitec, changes in JP Morgan estimates

€ million

	New FY27	FY28	FY29	Old FY27	FY28	FY29	Diff. FY27	FY28	FY29
Mobile Comm.	238	282	342	238	286	348	+0%	-1%	-2%
Auto. & Industrial.	72	80	91	72	80	90	-	-	+2%
Edge & Cloud AI	394	696	1042	356	437	590	+11%	+59%	+77%
Group revenue	704	1,057	1,475	665	802	1,027	+6%	+32%	+44%
Gross profit	193	434	684	136	209	319	+41%	+107%	+114%
Gross margin	27.3%	41.0%	46.4%	20.5%	26.1%	31.1%	+682 bps	+1494 bps	+1528 bps
Adj. Operating Income	65	303	545	9	80	188	+613%	+278%	+190%
Adj. Operating margin	9.3%	28.6%	36.9%	1.4%	10.0%	18.3%	+789 bps	+1866 bps	+1866 bps
Net Income	45	243	449	-10	52	142	-529%	+367%	+215%
Dil. EPS	1.21	6.63	12.25	-0.28	1.42	3.89	-529%	+367%	+215%
EBITDA	200	443	696	143	213	317	+39%	+108%	+120%
EBITDA margin	28.3%	42.0%	47.2%	21.6%	26.6%	30.9%	+678 bps	+1539 bps	+1632 bps
FCF	253	97	67	178	27	58	+42%	+263%	+16%

Source: J.P. Morgan estimates.

Table 2: Soitec, Bloomberg consensus comparison

€ million

	JPM FY27	FY28	FY29	BBG FY27	FY28	FY29	Diff. FY27	FY28	FY29
Mobile Comm.	238	282	342	289	355	422	-18%	-21%	-19%
Auto. & Industrial.	72	80	91	71	85	102	+1%	-7%	-10%
Edge & Cloud AI	394	696	1042	395	526	659	-0%	+32%	+58%
Revenue	704	1,057	1,475	729	920	1,180	-3%	+15%	+25%
Gross profit	193	434	684	165	274	402	+16%	+58%	+70%
Gross margin	27.3%	41.0%	46.4%	22.7%	29.8%	34.0%	+465 bps	+1123 bps	+1233 bps
Operating Income	65	303	545	41	141	249	+57%	+115%	+119%
Operating margin	9.3%	28.6%	36.9%	5.7%	15.3%	21.1%	+357 bps	+1331 bps	+1581 bps
Net Income	45	243	449	12	111	208	+272%	+119%	+116%
Dil. EPS	1.21	6.63	12.25	0.33	2.95	5.44	+273%	+125%	+125%
EBITDA	200	443	696	198	302	421	+1%	+47%	+65%
EBITDA margin	28.3%	42.0%	47.2%	27.1%	32.8%	35.7%	+121 bps	+916 bps	+1153 bps
FCF	253	97	67	68	93	125	+274%	+5%	-47%

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Table 3: Wafer peers, comparative valuation

X

	Share Px (LC)	Market Cap (USD/M)	Year- end	EV / Sales Yr. 0	Yr.+1	Yr.+2	EV / EBITDA Yr. 0	Yr.+1	Yr.+2	EV / EBIT Yr. 0	Yr.+1	Yr.+2	P / E Yr. 0	Yr.+1	Yr.+2
Wafer makers															
Global Wafers	900	13,542	Dec	7.4	5.5	4.6	23.5	14.4	9.6	57.8	24.2	15.8	41.2	23.7	15.1
SUMCO	2866	6,495	Dec	3.0	2.7	2.4	10.2	8.4	6.7	-	30.7	13.0	-	34.1	14.8
Shin-Etsu	5750	73,870	Mar	3.7	3.4	3.2	10.3	9.2	8.3	13.9	12.2	10.9	19.3	17.0	15.1
Siltronic	68	2,593	Dec	2.5	2.2	1.9	10.9	7.8	5.8	-	-	150.3	-	-	-
Soitec															
Bloomberg (at current px)	122	5,048	Mar	6.1	4.8	3.7	22.4	14.7	10.5	106.1	31.3	17.2	374.7	41.4	22.5
JPM (at current px)	122	5,048	Mar	6.3	4.2	3.0	22.2	10.0	6.5	67.8	14.7	8.3	100.6	18.5	10.2
JPM (at PT)	195	8,168	Mar	9.8	6.5	4.7	34.7	15.6	10.1	106.0	22.9	13.0	160.5	29.5	16.3

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Investment Thesis, Valuation and Risks

Soitec (*Overweight; Price Target: €200.00*)

Investment Thesis

Soitec's Silicon Photonics franchise is set to drive significant revenue growth for the group in the medium term, more than compensating for any continued softness in the legacy business. Soitec's Silicon Photonics is a key raw material used for optical and networking products, and as such is expected to see rapid revenue growth in the coming years. Given the structure of the business with high contribution margins and high fixed costs, we expect to see significant leverage on gross and operating margins leading to very material upgrades to consensus estimates.

Valuation

We set our June 2028 price target of €200 using a 13.0x EV/EBIT multiple on FY29 estimates (y/e March 2029). We shift to using EV/EBIT multiples given this better reflects the capital cost of the business; however, we note that the price target is equivalent to 10x EBITDA (vs. prior applied multiple of 11.0x EBITDA). The selected multiple is aligned to multiples of wafer maker peers.

Risks to Rating and Price Target

- Heightened competition in Silicon Photonics, leading to volume and price pressure for Soitec
- Constraints on Soitec's ability to expand supply of Silicon Photonics to meet demand
- Slowing of data center build out and slowing growth of Scale Across, Scale Out and Scale Up applications
- Initiatives to improve working capital may have a detrimental impact on revenue/market share and profitability

Soitec: Summary of Financials

Income Statement	FY25A	FY26A	FY27E	FY28E	Cash Flow Statement	FY25A	FY26A	FY27E	FY28E
Revenue	891	592	704	1,057	Cash flow from operating activities	201	205	366	330
COGS	(605)	(496)	(512)	(623)	o/w Depreciation & amortization	140	138	130	136
Gross profit	286	96	193	434	o/w Changes in working capital	(80)	49	230	(68)
SG&A	(65)	(59)	(57)	(58)	Cash flow from investing activities	(175)	(115)	(113)	(233)
Adj. EBITDA	298	143	200	443	o/w Capital expenditure	(199)	(128)	(113)	(233)
D&A	(140)	(138)	(130)	(136)	as % of sales	22.3%	21.6%	16.1%	22.0%
Adj. EBIT	119	(131)	65	303	Cash flow from financing activities	(51)	(203)	(17)	(13)
Net Interest	(9)	(30)	(17)	(13)	o/w Dividends paid	-	-	-	-
Adj. PBT	110	(161)	48	290	o/w Shares issued/(repurchased)	0	0	0	0
Tax	(19)	(61)	(4)	(46)	o/w Net debt issued/(repaid)	(81)	(187)	0	0
Minority Interest	0	0	0	0	Net change in cash	(21)	(123)	236	84
Adj. Net Income	92	(220)	45	243	Adj. Free cash flow to firm	3	68	253	97
Reported EPS	2.56	(6.17)	1.21	6.63	y/y Growth	(105.0%)	2166.7%	271.7%	(61.6%)
Adj. EPS	2.56	(6.17)	1.21	6.63					
DPS	0.00	0.00	0.00	0.00					
Payout ratio	0.0%	0.0%	0.0%	0.0%					
Shares outstanding	36	36	37	37					
Balance Sheet	FY25A	FY26A	FY27E	FY28E	Ratio Analysis	FY25A	FY26A	FY27E	FY28E
Cash and cash equivalents	687	562	800	884	Gross margin	32.1%	16.2%	27.3%	41.0%
Accounts receivable	463	280	294	405	EBITDA margin	33.4%	24.2%	28.3%	42.0%
Inventories	231	220	175	179	EBIT margin	13.4%	(22.1%)	9.3%	28.6%
Other current assets	818	660	647	849	Net profit margin	10.3%	(37.2%)	6.3%	23.0%
Current assets	1,512	1,225	1,449	1,736	ROE	6.0%	(15.1%)	3.3%	16.2%
PP&E	1,003	893	876	966	ROA	3.3%	(8.6%)	1.9%	9.1%
LT investments	30	20	20	20	ROCE	4.3%	(8.4%)	3.1%	12.0%
Other non current assets	162	68	68	68	SG&A/Sales	7.3%	10.0%	8.1%	5.5%
Total assets	2,807	2,280	2,487	2,870	Net debt/Equity	0.1	0.0	NM	NM
Short term borrowings	405	103	103	103	Net debt/EBITDA	0.3	0.4	NM	NM
Payables	153	53	67	89	Sales/Assets (x)	0.3	0.2	0.3	0.4
Other short term liabilities	185	160	363	476	Assets/Equity (x)	1.8	1.7	1.8	1.8
Current liabilities	743	316	533	667	Interest cover (x)	33.1	4.8	11.7	34.1
Long-term debt	375	517	517	517	Operating leverage	473.0%	626.0%	(789.0%)	726.4%
Other long term liabilities	375	517	517	517	Tax rate	17.3%	(37.9%)	7.7%	16.0%
Total liabilities	1,212	955	1,112	1,246	Revenue y/y Growth	(8.9%)	(33.6%)	19.0%	50.1%
Shareholders' equity	1,595	1,327	1,376	1,624	EBITDA y/y Growth	(10.4%)	(52.0%)	39.6%	122.2%
Minority interests	0	0	0	0	EPS y/y Growth	(45.6%)	(340.4%)	(119.7%)	446.2%
Total liabilities & equity	2,807	2,282	2,487	2,870	Valuation	FY25A	FY26A	FY27E	FY28E
BVPS	44.47	37.20	37.52	44.29	P/E (x)	48.0	NM	101.3	18.5
y/y Growth	12.2%	(16.3%)	0.9%	18.0%	P/BV (x)	2.8	3.3	3.3	2.8
Net debt/(cash)	93	58	(180)	(264)	EV/EBITDA (x)	13.1	27.1	18.2	8.0
					Dividend Yield	0.0%	0.0%	0.0%	0.0%

Source: Company reports and J.P. Morgan estimates.

Note: € in millions (except per-share data). Fiscal year ends Mar. o/w - out of which

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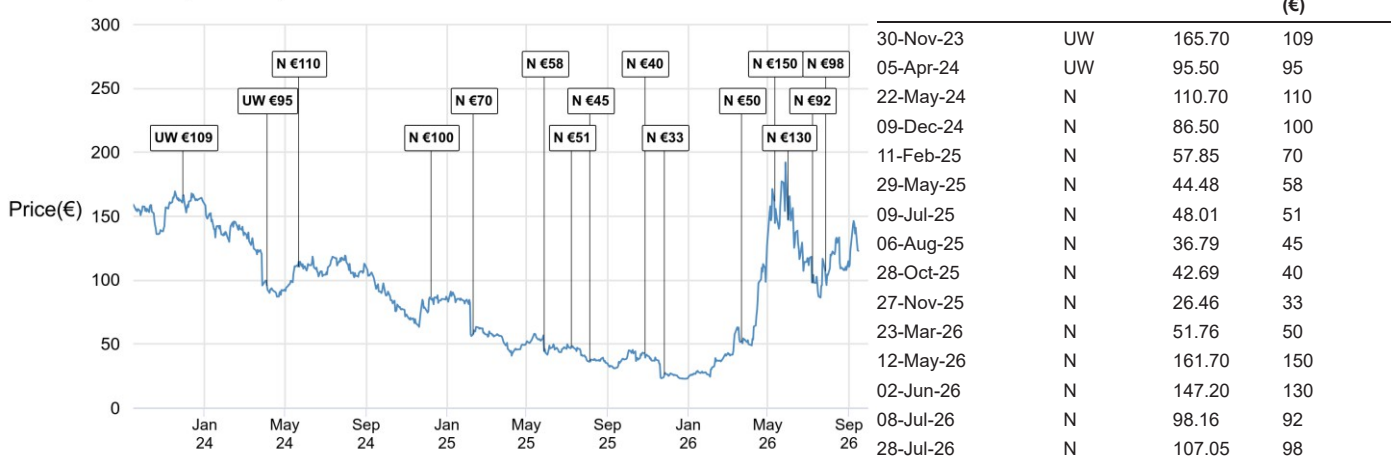
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Soitec (SOIT.PA, SOI FP) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
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